IE03

Money, Banking, RBI, Monetary Policy and Inflation

3-4 questions a paper. Inflation alone - headline vs core, the tolerance band, cost-push - came in 2016, 2018, 2023 AND 2024, near-verbatim. The policy rate ladder and the MPC's six members are permanent fixtures. If you learn one chapter in Economy thoroughly, learn this one.

The biggest chapter in the Economy paper and the one with the most predictable questions. Money supply definitions, the RBI's rate toolkit, the MPC's composition and the vocabulary of inflation - these are asked as straight definitions, year after year, in almost the same words.

Money, RBI and Inflation

RBI basics
- Established 1 April 1935, RBI Act 1934
- Hilton Young Commission recommendation
- Nationalised 1 January 1949
- HQ Kolkata, shifted to Mumbai 1937
- Osborne Smith first Governor; C.D. Deshmukh first Indian

Money supply
- M0 = reserve money
- M1 = narrow money
- M3 = broad money = M1 + time deposits
- M4 = M3 + total post office deposits
- Liquidity order M1 > M2 > M3 > M4

Policy toolkit
- Quantitative - CRR, SLR, repo, SDF, MSF, Bank Rate, OMO
- Qualitative - margin requirement, credit rationing, moral suasion
- SDF is the floor, MSF the ceiling of the LAF corridor
- Corridor symmetric at 25 bps around repo

MPC and targeting
- Section 45ZB, Finance Act 2016
- Six members, three external, four-year term
- Governor has the casting vote; quorum four
- Target 4% CPI, band +/- 2 per cent
- Failure = outside 2-6% for three consecutive quarters

Inflation
- Headline vs core (core excludes food and fuel)
- Demand-pull vs cost-push
- Deflation, disinflation, reflation, stagflation
- CPI - NSO, base 2024=100; WPI - DPIIT, base 2022-23
- Phillips curve - A.W. Phillips, 1958

Banking structure
- 14 banks nationalised 1969, 6 more in 1980
- RRBs 1975, Prathama Bank first
- NABARD 1982, SIDBI 1990
- Payments banks and small finance banks - Nachiket Mor
- NPA at 90 days; DICGC cover Rs 5 lakh

Money and the money supply - M0 to M4

Money does four jobs: it is a medium of exchange, a unit of account, a store of value and a standard of deferred payment. Once you accept that, the question becomes - how much money is there in the economy? There is no single answer, because 'money' shades from cash in your hand to a five-year fixed deposit. So the RBI publishes several measures, arranged from the most liquid to the least. Learn the ladder in order and the exam is done.

Measures of money supply

Measure	Composition	Nickname
M0	Currency in circulation + bankers' deposits with RBI + other deposits with RBI	Reserve money / high-powered money
M1	Currency with the public + demand deposits + other deposits with RBI	Narrow money
M2	M1 + post office savings deposits	-
M3	M1 + time deposits with the banking system	Broad money
M4	M3 + total post office deposits (excluding National Savings Certificates)	-

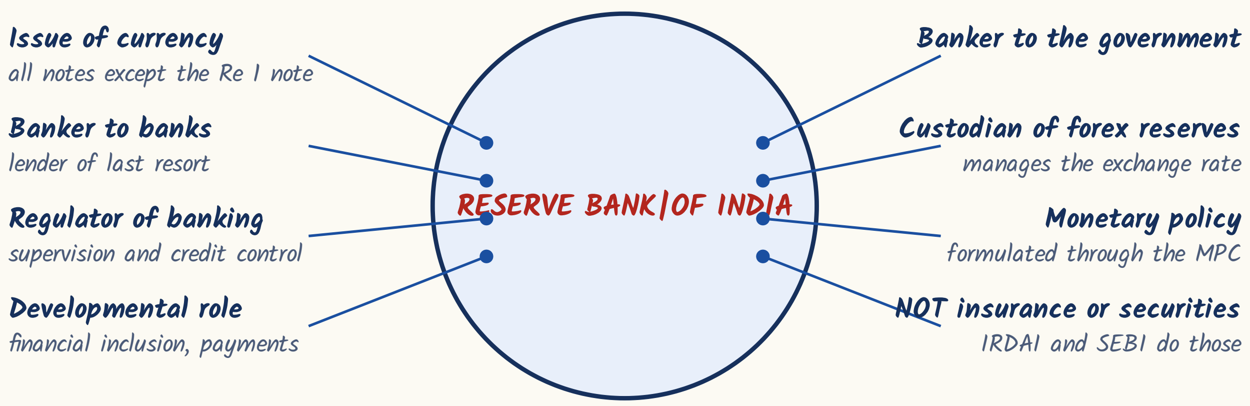
- M0 is the RBI's own liability - it is what the central bank directly controls.
- M1 is narrow money; M3 is broad money and is the aggregate normally quoted for money supply.
- Liquidity falls as you go up the ladder: M1 > M2 > M3 > M4.
- M4 excludes National Savings Certificates - that exclusion is examinable.

Two things to fix before moving on. M0 is not M1 - M0 counts bankers' deposits with the RBI, while M1 counts demand deposits held by the public with banks. And notice the direction of liquidity: the higher the number, the LESS liquid the measure, which feels backwards to most students the first time.

The Reserve Bank of India - origin and functions

The RBI's founding facts are pure one-liner material. It was set up on the recommendation of the Hilton Young Commission - formally the Royal Commission on Indian Currency and Finance, 1926 - established on 1 April 1935 under the RBI Act of 1934, and nationalised on 1 January 1949. Note that the Act is 1934 and the bank is 1935; those two years are deliberately mixed in options.

What the Reserve Bank does



- Original headquarters: Kolkata. Shifted permanently to Mumbai in 1937.
- First Governor: Sir Osborne Smith. First Indian Governor: C.D. Deshmukh.
- Sanjay Malhotra took charge as the 26th Governor on 11 December 2024.
- RBI issues all currency notes EXCEPT the one-rupee note.
- The Re 1 note is issued by the Government of India and bears the signature of the FINANCE SECRETARY.
- Coins are also minted by the Government of India, not the RBI.
- Minimum Reserve System, in force since 1957 - assets of at least Rs 200 crore, of which at least Rs 115 crore in GOLD.

- RBI's functions: issue of currency (except Re 1), banker to the government, banker to banks.
- Lender of last resort; custodian of foreign exchange reserves; manager of the exchange rate.
- Regulator and supervisor of the banking system; controller of credit; formulation of monetary policy.
- Developmental and promotional functions - financial inclusion, payment systems.
- It does NOT regulate the insurance sector (IRDAI) or the securities market (SEBI).

TRAP

Regulation of insurance is IRDAI's job, not the RBI's - this exact option has appeared as the 'NOT a function of the RBI' answer. Also: the RBI prints notes but the Government mints coins and issues the Re 1 note.

The policy rates - the table that carries the chapter

Every rate below is a lever for the same purpose - to control how much liquidity banks have and what it costs them. Two of them, CRR and SLR, work by locking money away. The rest work by pricing overnight money. The exam asks you what each rate DOES, and it asks for the current values as a match-the-following. So learn the function column first and the number column second, and always attach the date to the number.

The LAF corridor - August 2026 MPC review

MSF - Marginal Standing Facility
collateralised; the CEILING — 5.50%

25 bps above repo

Repo rate
the policy rate, against G-secs — 5.25%

25 bps below repo

SDF - Standing Deposit Facility
uncollateralised; the FLOOR — 5.00%

Policy rates and reserve ratios (values as at the August 2026 MPC review)

Rate / ratio	What it does	Value
Repo rate	Rate at which the RBI lends short-term funds to banks against government securities - the policy rate	5.25%
Standing Deposit Facility (SDF)	Rate at which the RBI absorbs liquidity from banks WITHOUT giving collateral; the FLOOR of the LAF corridor	5.00%
Marginal Standing Facility (MSF)	Emergency overnight borrowing by banks against securities, dipping into SLR; the CEILING of the corridor	5.50%
Bank Rate	Rate at which the RBI rediscounts bills / long-term lending rate; a penal rate, aligned with MSF	5.50%

Rate / ratio	What it does	Value
Reverse repo	The old absorption rate; since April 2022 no longer the operational floor - the SDF replaced it	Not the operating rate
Cash Reserve Ratio (CRR)	Share of net demand and time liabilities kept in CASH with the RBI; earns NO interest	3.00%
Statutory Liquidity Ratio (SLR)	Share of NDTL kept by the bank ITSELF in cash, gold or approved securities	18.00% (statutory maximum 40%)

- CRR is prescribed under Section 42(1) of the RBI Act, 1934.
- SLR is prescribed under Section 24 of the Banking Regulation Act, 1949.
- CRR earns no interest; SLR securities do earn a return, because the bank still owns them.
- The LAF - Liquidity Adjustment Facility - is the corridor within which overnight money moves.
- The corridor is SYMMETRIC at 25 basis points around the repo rate: SDF = repo minus 25 bps, MSF = repo plus 25 bps.
- The SDF was introduced in April 2022 and is UNCOLLATERALISED; the MSF is collateralised.
- Open Market Operations (OMO) - RBI buys or sells government securities to inject or absorb durable liquidity.

TRAP

MSF is the CEILING of the LAF corridor, SDF is the FLOOR. RPSC printed 'Marginal Standing Facility - the floor of the liquidity adjustment facility' as the NOT-correctly-matched option. Also remember which statute: CRR from the RBI Act 1934, SLR from the Banking Regulation Act 1949.

CURRENT LINK

Current link (as of September 2026): the August 2026 MPC review left the repo rate at 5.25% with a NEUTRAL stance - SDF 5.00%, MSF 5.50%, Bank Rate 5.50%, CRR 3.00%, SLR 18.00%. The inflation target itself was renewed in the same year: 4% CPI (Combined) with a band of plus or minus 2 per cent, notified for 1 April 2026 to 31 March 2031. Quote the rate with the review month, because it changes.

Quantitative versus qualitative credit control

Group the tools before you memorise them. Quantitative tools change the total volume of credit in the system - they hit every borrower equally. Qualitative tools steer credit towards or away from particular uses - they are selective. One question a year comes from this split, usually in the negative form: which of the following is NOT a quantitative instrument.

Quantitative (general) vs qualitative (selective) tools

Quantitative / general	Qualitative / selective
Affect the total volume of credit	Affect the direction and use of credit
CRR and SLR	Margin requirements (loan-to-value limits)
Repo, SDF, MSF, Bank Rate	Credit rationing
Open Market Operations	Moral suasion - persuasion, not compulsion
Impersonal, apply to all banks alike	Direct action against a specific bank; regulation of consumer credit

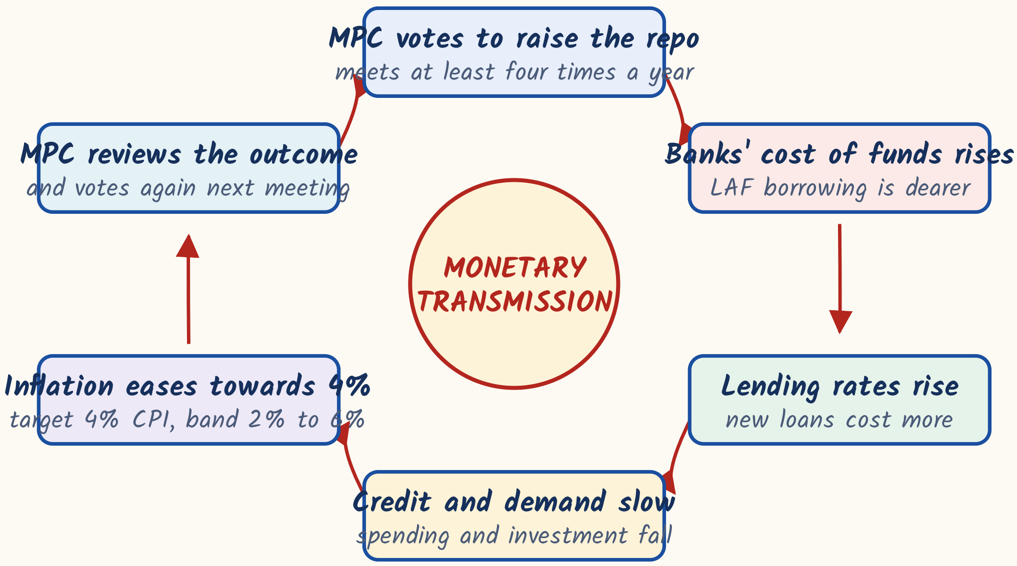
YAAD RAKHO

Remember: if it has a NUMBER attached to it, it is quantitative. If it involves the RBI talking, warning or targeting a specific sector, it is qualitative. Moral suasion is the classic answer to 'NOT a quantitative instrument'.

The Monetary Policy Committee and inflation targeting

Until 2016 the Governor alone decided the policy rate. The Finance Act, 2016 inserted Section 45ZB into the RBI Act and handed the decision to a six-member committee, with a numerical inflation target notified by the Government. This is the framework question RPSC keeps returning to. Learn the composition, the term, the tie-breaker and the target as four separate facts.

How a repo-rate rise reaches inflation



- Constituted under Section 45ZB of the RBI Act, inserted by the Finance Act, 2016.
- SIX members - three from the RBI and three external.
- The three from the RBI: the Governor (ex officio Chairperson), the Deputy Governor in charge of monetary policy, and one officer nominated by the Central Board.
- The three external members are appointed by the CENTRAL GOVERNMENT for FOUR years, and are not eligible for re-appointment.
- Quorum: four members. The Governor has a CASTING VOTE in case of a tie.
- The MPC must meet at least FOUR times a year.

- The inflation target is 4% CPI (Combined) with a tolerance band of PLUS OR MINUS 2 per cent - that is, 2% to 6%.
- It is notified by the CENTRAL GOVERNMENT under Section 45ZA, in consultation with the RBI.
- First notified for 5 August 2016 to 31 March 2021; renewed for 2021-2026; retained for 1 April 2026 to 31 March 2031.
- 'Failure' of monetary policy = average inflation outside the 2-6% band for THREE CONSECUTIVE QUARTERS.
- On failure, the RBI must report to the Central Government explaining the reasons and the remedial action.
- The target is set on CPI (Combined), not on WPI - a favourite distractor.

How the inflation-targeting framework actually runs

Central Government notifies the target - 4% CPI, band 2% to 6% - under Section 45ZA → MPC meets at least four times a year and votes on the policy rate →

Governor breaks a tie with a casting vote; the resolution is published the same day → RBI implements the decision through the LAF - repo, SDF, MSF and OMOs →

If average inflation stays outside 2-6% for three consecutive quarters, it is a FAILURE → RBI reports to the Central Government with reasons, remedial action and a time estimate

ASKED IN RAS

Asked in RAS Pre 2023 and again in 2024 - the inflation target and tolerance band notified by the Central Government are 4 per cent with a band of plus or minus 2 per cent. Learn the sentence, not just the numbers.

ASKED IN RAS

Asked in RAS Pre 2024 as a statement set on the monetary policy framework - the target is notified by the Central Government in consultation with the RBI; the MPC has six members; failure is defined as three consecutive quarters outside the band. All correct.

Inflation - the vocabulary RPSC tests almost verbatim

This is the single most repeated topic in the Economy paper - 2016, 2018, 2023 and 2024. And it is not asked as analysis. It is asked as definitions. So the drill is simple: be able to say each term in one clean sentence, and be able to spot when an option has swapped two of them.

The vocabulary of inflation

Inflation

By cause
what pushes prices up
- Demand-pull - demand
- Cost-push - inputs

By coverage
which items are counted
- Headline - all items
- Core - no food or fuel

The four look-alikes
these four get swapped
- Deflation - falling
- Disinflation - slowing
- Reflation - revival
- Stagflation - stagnant

Demand-pull vs cost-push inflation

Demand-pull	Cost-push
Aggregate demand exceeds aggregate supply	Input costs rise - wages, fuel, raw materials
'Too much money chasing too few goods'	Supply-side shock pushes the price level up
Output tends to rise along with prices	Output falls while prices rise
Cured by tightening demand - higher rates, lower spending	Can produce STAGFLATION; demand tightening does not cure it

- Headline inflation - covers ALL items in the index, including food and fuel.
- Core inflation - headline MINUS food and fuel, the volatile components. Nothing else is removed.
- Deflation - a sustained FALL in the general price level (negative inflation).
- Disinflation - inflation is FALLING but still positive. Prices still rise, only more slowly.
- Reflation - a deliberate, policy-induced rise in prices after a period of deflation.
- Stagflation - high inflation together with stagnant output and high unemployment.
- Indexation - linking payments such as dearness allowance to a price index, so real value is protected.
- Phillips curve - A.W. Phillips, 1958: an inverse SHORT-RUN relationship between inflation and unemployment.

ASKED IN RAS

Asked in RAS Pre 2016 and 2024 - core inflation is headline inflation EXCLUDING food and fuel. Asked in 2018 - inflation caused by aggregate demand exceeding the economy's capacity to produce is DEMAND-PULL.

ASKED IN RAS

Asked in RAS Pre 2023 in negative form - which statement about inflation is NOT correct? The wrong statement was 'deflation and disinflation refer to the same phenomenon'. They do not. Deflation is negative inflation; disinflation is a falling but still positive rate.

ASKED IN RAS

Asked in RAS Pre 2016 and 2018 as an assertion-reason pair - cost-push inflation can be accompanied by rising unemployment, because it arises from a rise in input costs. Both true, and the reason explains the assertion. That is stagflation in one line.

TRAP

Deflation, disinflation, reflation and stagflation are four different things, and RPSC swaps them freely. Deflation = prices FALL. Disinflation = inflation SLOWS. Reflation = deliberate price revival after deflation. Stagflation = inflation UP and growth DOWN together.

The price indices - CPI vs WPI, and who compiles what

India measures prices at two different points in the chain. WPI catches goods as they change hands in bulk, before they reach you. CPI catches them at the retail counter, in the basket a household actually buys. That single difference explains every other difference between them - the coverage, the weights, and which one the RBI targets.

CPI vs WPI - the comparison to write out in the exam hall

CPI (Consumer Price Index)	WPI (Wholesale Price Index)
Retail prices, what the household pays	Wholesale / bulk transaction prices
Compiled by the NSO, MoSPI	Compiled by the Office of the Economic Adviser, DPIIT
INCLUDES services	EXCLUDES services entirely
Base year 2024 = 100 (new series released 12 February 2026)	Base year 2022-23 (new series launched 15 June 2026)
CPI (Combined) is the HEADLINE inflation measure and the RBI's target	Not the target; used for deflators and policy analysis
Food carries a heavy weight, so it is more volatile at the retail end	Manufactured products dominate the basket

- New CPI series: base 2024=100, released 12 February 2026, replacing base 2012=100.
- Its weights come from the Household Consumption Expenditure Survey 2023-24.
- Items rose from 299 to 358; groups from 6 to 12.
- New WPI series: base revised from 2011-12 to 2022-23; basket expanded from 697 to 957 items.
- A Producer Price Index (PPI) was launched alongside it on 15 June 2026 - the PPI DOES cover services, WPI does not.
- CPI-IW is compiled by the LABOUR BUREAU (base 2016=100) and is used for indexing dearness allowance.
- CPI-AL (agricultural labourers) and CPI-RL (rural labourers) are also Labour Bureau products.
- The GDP deflator remains the broadest inflation measure - all goods and services, no fixed basket.

- Rajasthan compiles its own Wholesale Price Index through the Directorate of Economics and Statistics.
- Its base year is 1999-2000 (replacing the earlier 1952-53 base) - asked in RAS Pre 2016 and 2018 in identical words.
- Wholesale prices are collected weekly, on Fridays, from selected centres across the State.

CURRENT LINK

Current link (as of September 2026): both of India's headline price indices were rebased within the last eight months - CPI to base 2024=100 on 12 February 2026, and WPI to base 2022-23 with the new Producer Price Index on 15 June 2026. A rebasing year is exactly when RPSC asks 'the new base year of CPI is', so carry both dates. Alongside them, the August 2026 MPC review left the repo at 5.25% with a neutral stance.

Banking structure - nationalisation, RRBs, and the newer banks

India's banking structure was built in stages, and the exam asks for the stages in order. Learn the chronology as a spine, then hang the details on it. The numbers to fix are the two nationalisation rounds and their deposit thresholds - they are asked as straight one-liners.

Milestones of Indian banking

1935 - Reserve Bank of India established → 1949 - RBI nationalised; Banking Regulation Act →

1955 - Imperial Bank of India becomes the State Bank of India → 19 July 1969 - 14 banks nationalised (deposits of Rs 50 crore or more) →

2 October 1975 - first Regional Rural Bank, Prathama Bank, Moradabad → 15 April 1980 - 6 more banks nationalised (deposits of Rs 200 crore or more) →

1982 - NABARD and EXIM Bank; 1990 - SIDBI → 2015 onwards - payments banks and small finance banks licensed

- RRBs were set up under an Ordinance of 26 September 1975; the RRB Act came in 1976.
- They followed the recommendation of the Narasimham Working Group.
- RRB shareholding: Centre 50%, sponsor bank 35%, State government 15%.
- Under 'One State One RRB', the number of RRBs was reduced to 28 with effect from 1 May 2025.
- NABARD was set up on 12 July 1982 on the recommendation of the B. Sivaraman Committee (CRAFICARD).
- Payments banks and small finance banks were recommended by the Nachiket Mor Committee (2013).

Payments banks vs small finance banks

Payments bank	Small finance bank
May accept deposits up to Rs 2 lakh per individual customer	Full-service deposits, no such cap
CANNOT lend or issue credit cards	Must lend 40% of adjusted net bank credit to priority sectors, raised to 75%
May issue debit cards, offer payments and remittances	At least 50% of its loan book must be loans up to Rs 25 lakh

Payments bank	Small finance bank
Both were recommended by the Nachiket Mor Committee, 2013	Both were recommended by the Nachiket Mor Committee, 2013

- Priority Sector Lending target for domestic scheduled commercial banks: 40% of Adjusted Net Bank Credit.
- Sub-targets: 18% agriculture, 7.5% micro enterprises, 12% weaker sections.
- An asset becomes a Non-Performing Asset when interest or principal is overdue for MORE THAN 90 DAYS.
- Deposit insurance under DICGC: Rs 5 lakh per depositor per bank, raised from Rs 1 lakh in February 2020.
- IBC 2016 - NCLT adjudicates corporate insolvency; DRT handles individuals and partnership firms.
- The Insolvency and Bankruptcy Board of India was set up on 1 October 2016.
- The corporate insolvency resolution process must be completed within 330 days INCLUDING litigation.

Regulators, financial inclusion and digital payments

Last block of the chapter, and the easiest marks in it. Two regulators and three schemes, each with a date. RPSC asks these as one-liners and as institution-to-year matches, so the dates matter more than the descriptions.

- SEBI - set up as a NON-STATUTORY body in 1988; made statutory by the SEBI Act, 1992. Headquarters Mumbai.
- IRDAI - constituted under the IRDA Act, 1999. Headquarters Hyderabad.
- PMJDY launched 28 August 2014 - zero-balance account, RuPay card, overdraft up to Rs 10,000.
- RuPay accident cover under PMJDY is Rs 2 lakh for cards issued after 28 August 2018.
- UPI was launched by the NPCI (National Payments Corporation of India) in April 2016.
- PMMY (MUDRA) launched 8 April 2015 to fund non-corporate, non-farm micro enterprises.

MUDRA loan categories

Category	Loan amount
Shishu	Up to Rs 50,000
Kishore	Rs 50,000 to Rs 5 lakh
Tarun	Rs 5 lakh to Rs 10 lakh
Tarun Plus	Rs 10 lakh to Rs 20 lakh

YAAD RAKHO

MUDRA sizes in age order - Shishu (infant) is smallest, Kishore (adolescent) is middle, Tarun (youth) is largest, and Tarun Plus is the newest top slab. The name tells you the amount.

REVISION RECAP

1. RBI - Hilton Young Commission; established 1 April 1935 under the RBI Act 1934; nationalised 1 January 1949.
2. HQ Kolkata, moved to Mumbai 1937; first Governor Osborne Smith, first Indian C.D. Deshmukh; 26th Governor Sanjay Malhotra (11 Dec 2024). Minimum Reserve System since 1957 - Rs 200 crore of assets, Rs 115 crore of it in gold.

3. RBI issues all notes except Re 1, which the Government issues with the Finance Secretary's signature; Government mints coins.
4. M0 reserve money; M1 narrow money; M3 = M1 + time deposits = broad money; M4 = M3 + total post office deposits (excl. NSC); liquidity order M1 > M2 > M3 > M4.
5. August 2026 rates - repo 5.25, SDF 5.00, MSF 5.50, Bank Rate 5.50, CRR 3.00, SLR 18.00; stance neutral.
6. SDF is the corridor floor (uncollateralised, April 2022); MSF the ceiling (collateralised); corridor symmetric at 25 bps.
7. CRR - Section 42(1), RBI Act 1934, no interest. SLR - Section 24, Banking Regulation Act 1949, maximum 40%.
8. Quantitative tools - CRR, SLR, repo, SDF, MSF, Bank Rate, OMO. Qualitative - margin, rationing, moral suasion, direct action.
9. MPC - Section 45ZB (Finance Act 2016); six members, three external for four years, no re-appointment; quorum four; Governor's casting vote; meets at least four times a year.
10. Inflation target 4% CPI (Combined), band +/- 2 per cent, notified under Section 45ZA; retained for 1 April 2026 to 31 March 2031.
11. Failure = average inflation outside 2-6% for three consecutive quarters, then a report to the Central Government.
12. Headline includes food and fuel; core excludes them. Demand-pull = excess demand; cost-push = input costs, can cause stagflation.
13. Deflation falls, disinflation slows, reflation revives, stagflation combines inflation with stagnation. Phillips curve - A.W. Phillips 1958.
14. CPI - NSO/MoSPI, base 2024=100 from 12 February 2026, includes services, is the RBI's target index.
15. WPI - Office of the Economic Adviser, DPIIT, base 2022-23 from 15 June 2026, excludes services; PPI launched alongside covers them.
16. CPI-IW - Labour Bureau, base 2016=100, used for dearness allowance. Rajasthan's own WPI has base year 1999-2000.
17. Nationalisation - 14 banks on 19 July 1969 (Rs 50 crore), 6 banks on 15 April 1980 (Rs 200 crore); Imperial Bank became SBI in 1955.
18. RRBs 1975 (Prathama Bank first, 2 Oct 1975); Centre 50 / sponsor 35 / State 15; 28 RRBs from 1 May 2025 under One State One RRB.
19. PSL 40% of ANBC (agri 18, micro 7.5, weaker sections 12); NPA at over 90 days; DICGC cover Rs 5 lakh; payments banks cap Rs 2 lakh, no lending (Nachiket Mor Committee).
20. SEBI statutory 1992 (Mumbai); IRDAI 1999 (Hyderabad); PMJDY 28 Aug 2014; MUDRA 8 April 2015; UPI by NPCI, April 2016. IBC 2016 - NCLT for companies, DRT

for individuals, 330 days.